

Magnolia Terrace — Investment & Sales Offering Memorandum

Raleigh, NC multifamily • As-of 2026-08-31 • Original fictional evaluation material

Executive Summary

Source-backed analysis. Assumptions remain subject to diligence.

Magnolia Terrace is a 48-unit multifamily asset in Raleigh, NC, held for sale/recapitalization as of 2026-08-31. Underwritten NOI before reserves is \$641,374 on \$942,480 of EGI, producing a \$11,154,323 capitalization value at the prescribed 5.75% cap rate. Underwritten NCF after reserves is \$626,974. Debt sizing at a 6.25% sizing rate (greater of note rate 6.25% and floor 6.00%) on 30-year amortization is DSCR-constrained at \$6,788,545 (65% LTV would allow \$7,250,310). After 1% origination, \$45,000 closing costs and \$4,200,000 payoff, net cash-out to sponsor is \$2,475,660.

Certified physical occupancy is 44 of 48 units (91.67% by unit, 91.23% by area). Suite 045 is pending (not yet in possession) and Suites 046-048 are vacant. Suite 001 has a signed amendment effective 2026-08-01 raising monthly rent from \$1,500 to \$1,850; the amendment does not change the prescribed GPR assumption of scheduled rent x 12 on the pre-amendment roll.

Metric	Value
Total units	48
Physically occupied units	44
Pending units	1
UW EGI	\$942,480
UW NOI (before reserves)	\$641,374
UW NCF (after reserves)	\$626,974
Cap rate / Capitalization value	5.7500% / \$11,154,323
Sizing rate / Max loan / Binding	6.2500% / \$6,788,545 / DSCR
Net cash-out to sponsor	\$2,475,660

Property Overview

Asset: Magnolia Terrace, multifamily, Raleigh, NC. Original fictional evaluation property; no actual address, sponsor credentials or transaction is represented. Photos, market sales/rent comps, sponsor history and asking price are not supplied and are labeled absent rather than invented.

Unit / Suite Mix (Manager A/B/C = Studio/1BR/2BR)

Sixteen units of each type; one pending 2BR (Suite 045); one vacant of each type (Suites 046 Studio, 047 1BR, 048 2BR).

Group	Type	Total	Occupied	Pending	Vacant
A	Studio	16	15	0	1
B	1BR	16	15	0	1
C	2BR	16	14	1	1
Total	-	48	44	1	3

Lease & Occupancy Analysis

The certified rent roll dated 2026-08-31 governs; the archive dated 2026-06-30 is stale and superseded. The manager cover headline of 45 of 48 counts the pending Suite 045 as occupied, which is inconsistent with physical possession. Certified physical occupancy is $44/48 = 91.67\%$ by unit and $37,220/40,800 = 91.23\%$ by area.

A signed amendment (both parties 2026-07-20, effective 2026-08-01) raises Suite 001 monthly rent by \$350 to \$1,850. All 45 active or pending leases expire 2029-08-31, well outside a 12-month horizon; no near-term rollover exposure exists.

Historical vs Underwritten Financials

The T-12 operating statement reports cash collections of \$876,960 and NOI of \$604,128 for 2025-09-01 through 2026-08-31, without a management fee or replacement reserves and with the roof replacement excluded from repairs (booked as capital). Underwritten figures follow the prescribed inputs.

Item	T-12 actual	Underwritten
Rental collections / EGI	\$876,960	\$942,480
Real estate tax	\$102,312	\$102,312
Insurance	\$34,104	\$34,104
Other recurring opex	\$136,416	\$136,416
Management fee	\$0	\$28,274
NOI before reserves	\$604,128	\$641,374
Reserves	\$0	\$14,400
NCF after reserves	unknown	\$626,974

Debt Sizing & Sources / Uses

Sizing at 6.25% (note 6.25% is the greater of note and floor 6.00%) on 30-year amortization. NCF debt yield $626,974 / 9\% = 6,966,373$; LTV 65% $\times 11,154,323 = 7,250,310$; DSCR 1.25 on monthly constant 0.006157 solves to 6,788,545 (binding).

Constraint	Loan
LTV 65% of value	\$7,250,310
DSCR 1.25 on NCF	\$6,788,545 (binding)
Debt yield 9%	\$6,966,373
Maximum loan	\$6,788,545
Origination fee (1%)	\$67,885
Closing costs	\$45,000
Existing payoff	\$4,200,000
Net cash-out	\$2,475,660

Risks & Missing Diligence

Pending-in-occupancy: PRESENT. Manager headline counts Suite 045 (pending, no possession) as occupied.

Near-term rollover: ABSENT. All leases expire 2029-08-31, outside the next 12 months.

Missing insurance: ABSENT. Policy on file with \$2,000,000 GL aggregate limit through 2027-06-30.

Capital in opex: ABSENT. Operating statement explicitly excludes the roof replacement from repairs.

Unsigned rent change: ABSENT. The Suite 001 amendment is signed by both parties.

Temporary free rent: ABSENT. Lease-001 states no free-rent concession as of the evaluation date.

Sizing-floor binding: ABSENT. Note rate 6.25% exceeds floor 6.00%.

Refinance shortfall: ABSENT. Maximum loan \$6,788,545 exceeds \$4,200,000 payoff plus fees; positive net cash-out.

Missing diligence: legal, environmental, property condition and title reviews are pending (routine, no defects asserted). Photos, market comps, sponsor track record and asking price are not supplied.

Source Notes

Certified rent roll (rent-roll-certified.xlsx, 2026-08-31) controls occupancy and scheduled rent; archive (rent-roll-archive.xlsx, 2026-06-30) is stale and not used. Underwriting instructions (underwriting-instructions.pdf) prescribe the loss factor, other income, expenses, sizing rules, cap rate and floor. Operating-statement.pdf provides the T-12 and confirms the roof is capital. Lease-001.pdf and lease-correspondence.pdf together establish the amended \$1,850 in-place rent for Suite 001. Insurance.pdf establishes the \$2,000,000 GL aggregate limit. Diligence-status.pdf notes pending third-party reviews. Manager-cover.pdf maps groups A/B/C to Studio/1BR/2BR.